

CAC : LTV Ratio

SLIBRARY 08 · SHEET 1 / 5

Acquisition cost vs. lifetime value

PROFESSIONAL DEFINITION

The CAC:LTV ratio compares the cost of acquiring a customer with the lifetime value that customer generates, a core test of whether a growth model is economically sustainable.

WHO DEVELOPED IT

A staple of SaaS and subscription economics, popularised by investors such as David Skok and by unit-economics practice.

WHY IT WAS DEVELOPED

It was developed to discipline growth spending, ensuring that acquisition cost is justified by the value a customer ultimately delivers.

FIGURE 1 · CAC : LTV RATIO

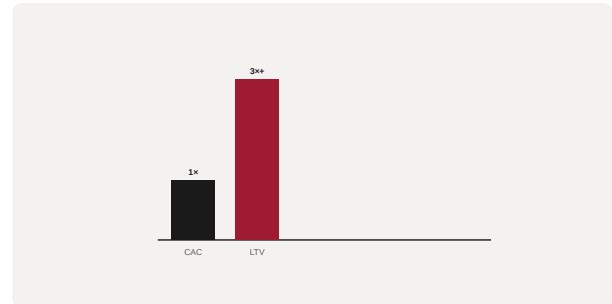


Figure 1. A schematic of the CAC : LTV Ratio as applied in BARBM312 (illustrative).

HOW IT IS USED

Lifetime value is divided by acquisition cost; a healthy ratio (commonly 3:1 or better) signals a fundable model, while AI is assessed by its effect on both terms.

WHEN IT IS USED

During growth-strategy and investment decisions and when evaluating AI's effect on acquisition or retention.

BY WHOM IT IS USED

Founders, growth leaders, finance and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It anchors growth in unit economics rather than vanity metrics, providing a single sustainability test for customer acquisition.

RELATED FRAMEWORKS IN THIS COURSE

Retention / Churn Cohort · Slibrary 8

Pirate Metrics (AARRR) · Slibrary 8

Net Revenue Retention · Slibrary 8

Growth Loop · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

Skok, D. (2013) 'SaaS metrics 2.0', forEntrepreneurs.

Gupta, S., Lehmann, D.R. and Stuart, J.A. (2004) 'Valuing customers', Journal of Marketing Research, 41(1).